

Amendment No. 1 to SB0576

Crowe  
Signature of Sponsor

**AMEND Senate Bill No. 576\***

**House Bill No. 829**

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 71-5-2001, is amended by deleting the language "Annual Coverage Assessment Act of 2024" and substituting "Annual Coverage Assessment Act of 2025".

SECTION 2. Tennessee Code Annotated, Section 71-5-2002(2)(C), is amended by deleting the language "as shown in its certificate of need application filed with the health facilities commission" and substituting "as shown in its certificate of need application or equivalent financial report filed with the health facilities commission or other agency that has issued a license to the hospital to operate in this state".

SECTION 3. Tennessee Code Annotated, Section 71-5-2002(7), is amended by deleting from subdivisions (A) and (F) the language "July 1, 2024" and substituting "July 1, 2025".

SECTION 4. Tennessee Code Annotated, Section 71-5-2003(a), is amended by deleting the language "fiscal year (FY) 2024-2025" and substituting "fiscal year (FY) 2025-2026".

SECTION 5. Tennessee Code Annotated, Section 71-5-2003(c), is amended by deleting the language "FY 2024-2025" wherever it appears and substituting "FY 2025-2026".

SECTION 6. Tennessee Code Annotated, Section 71-5-2003(d)(1)(A), is amended by deleting the language "July 1, 2024" wherever it appears and substituting "July 1, 2025".

SECTION 7. Tennessee Code Annotated, Section 71-5-2003, is amended by adding the following as a new subsection:

(e) Notwithstanding this part, if the CMS determination, approvals, and confirmation set forth in subsection (b) have all been obtained except for the approval described in subdivision (b)(1)(B), then the assessment authorized by this section is implemented and imposed as set forth in this part.

SECTION 8. Tennessee Code Annotated, Section 71-5-2004(c), is amended by deleting the subsection and substituting:

(c) The annual coverage assessment must be paid in installments pursuant to this subsection (c) if the requirements of § 71-5-2003(b) have been satisfied. The division shall establish a schedule of equal installment payments spread as evenly as possible throughout FY 2025-2026 with each installment payment due fifteen (15) days after the FY 2025-2026 directed payments approved by CMS to offset unreimbursed division costs have been made to hospitals.

SECTION 9. Tennessee Code Annotated, Section 71-5-2004(f), is amended by deleting the subsection and substituting:

(f) If a covered hospital ceases to operate or changes status to be an excluded hospital between July 1, 2025, and June 30, 2026, then the hospital's total annual coverage assessment is equal to its annual coverage assessment base multiplied by a fraction, the denominator of which is the number of calendar days from July 1, 2025, until July 1, 2026, and the numerator of which is the number of days from July 1, 2025, until the date the health facilities commission has recorded as the date that the hospital changed status or ceased operation.

SECTION 10. Tennessee Code Annotated, Section 71-5-2004(h), is amended by deleting the language "July 1, 2025" wherever it appears and substituting "July 1, 2026"; and deleting the language "July 1, 2024" and substituting "July 1, 2025".

SECTION 11. Tennessee Code Annotated, Section 71-5-2004, is amended by deleting from subsection (j) the language "this subsection (j)" and substituting "this subsection (k)"; deleting from subdivision (k)(2)(A)(iv) the language "under subdivisions (k)(2)(A)(ii) and (iii)" and

substituting "under subdivisions (l)(2)(A)(ii) and (iii)"; deleting from subdivision (k)(2)(A)(vi) the language "this subdivision (k)(2)" and substituting "this subdivision (l)(2)"; deleting from subdivision (k)(2)(B) the language "this subdivision (k)(2)" and substituting "this subdivision (l)(2)"; deleting from subdivision (k)(2)(C) the language "this subdivision (k)(2)" and substituting "this subdivision (l)(2)"; deleting from subdivision (k)(3) the language "set forth in subdivision (k)(1) or (k)(2)" and substituting "set forth in subdivision (l)(1) or (l)(2)"; and inserting the following as a new subsection (i) and redesignating the existing subsection (i) and subsequent subsections accordingly:

(i) If the status of a hospital excluded under the definition in § 71-5-2002(7)(E) changes to meet the definition of a covered hospital, and if such hospital contributed an intergovernmental transfer, then the intergovernmental transfer and assessment obligations must be applied to such hospital proportionally based on the length of time the hospital met each of the respective definitions.

SECTION 12. Tennessee Code Annotated, Section 71-5-2005(c), is amended by deleting from subdivision (1) the language "June 30, 2024" and substituting "June 30, 2025"; and adding the following sentence to the end of subdivision (5):

The intergovernmental transfer amount is determined on the proportion of a hospital's medicaid days and total outpatient payments as reported on the 2021 JAR.

SECTION 13. Tennessee Code Annotated, Section 71-5-2005(d)(1), is amended by deleting the language "funding for FY 2024-2025" and substituting "funding for FY 2025-2026".

SECTION 14. Tennessee Code Annotated, Section 71-5-2005(d)(1)(D), is amended by deleting the language "appropriation for FY 2024-2025" and substituting "appropriation for FY 2025-2026".

SECTION 15. Tennessee Code Annotated, Section 71-5-2005(d)(1)(J), is amended by deleting the subdivision and substituting:

(J) In the total amount of five hundred ninety-eight thousand nine hundred forty-five dollars (\$598,945) to maintain reimbursement at the same emergency care rate as

in FY 2024-2025 for nonemergent care to children twelve (12) to twenty-four (24) months of age;

SECTION 16. Tennessee Code Annotated, Section 71-5-2005(d)(1)(K), is amended by deleting the language "two million one hundred eleven thousand four hundred dollars (\$2,111,400)" and substituting "two million one hundred forty thousand six hundred twenty dollars (\$2,140,620)".

SECTION 17. Tennessee Code Annotated, Section 71-5-2005(d)(1)(N), is amended by deleting the language "as of June 30, 2024" and substituting "as of June 30, 2025".

SECTION 18. Tennessee Code Annotated, Section 71-5-2005(d)(2)(A), is amended by deleting the language "FY 2024-2025" and substituting "FY 2025-2026".

SECTION 19. Tennessee Code Annotated, Section 71-5-2005(d)(2)(B), is amended by deleting the language "FY 2024-2025" wherever it appears and substituting "FY 2025-2026"; deleting the language "no less than thirty-seven percent (37%)" and substituting "no less than thirty-six percent (36%)"; and deleting the language "2022 JAR" wherever it appears and substituting "2023 JAR".

SECTION 20. Tennessee Code Annotated, Section 71-5-2005(d)(2)(H), is amended by deleting the language "pursuant to § 71-5-2004(k)(2)" and substituting "pursuant to § 71-5-2004(l)(2)".

SECTION 21. Tennessee Code Annotated, Section 71-5-2005(d)(3), is amended by deleting the subdivision and substituting:

(3) Administrative funding to the division for six (6) full-time state employees to assist with implementation, operationalization, and ongoing management of hospital payment programs in the amount of three hundred eighty-two thousand four hundred dollars (\$382,400) and funding for a program manager contract in the amount of one million six hundred thousand dollars (\$1,600,000); and

SECTION 22. Tennessee Code Annotated, Section 71-5-2005(g), is amended by deleting the language "September 1, 2024" and substituting "September 1, 2025".

SECTION 23. Tennessee Code Annotated, Section 71-5-2005, is amended by adding the following as a new subsection:

(i) Notwithstanding this section, if the assessment authorized by this part is implemented pursuant to § 71-5-2003(e), then the expenditures for directed payments to hospitals set forth in subdivision (d)(2) must be limited to either the same amount authorized for FY 2024, as established in 2023 Public Chapter 232, or a greater amount as determined by the division in consultation with the Tennessee Hospital Association, up to the amount approved by CMS, until such time as the CMS determination, approvals, and confirmation outlined in § 71-5-2003(b) have been obtained and the division provides written notice to the Tennessee Hospital Association pursuant to § 71-5-2003(b).

SECTION 24. Tennessee Code Annotated, Section 71-5-2006, is amended by deleting the language "This part expires on July 1, 2025" and substituting "This part expires on July 1, 2026".

SECTION 25. This act takes effect at 11:59 p.m. on June 30, 2025, the public welfare requiring it.